

APAC TMT Sector M&A & Valuation Brief - 2026-07-09

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Generated on 2026-07-09

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1. RECENT TMT M&A ACTIVITY

Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently experiencing a mixed sentiment, characterized by cautious optimism amid ongoing regulatory scrutiny and evolving technological advancements. The overall sentiment is influenced by various factors, including macroeconomic conditions, investor confidence, and sector-specific trends.

Subsector Breakdown:

- Technology: The technology subsector remains robust, driven by advancements in AI, cloud computing, and cybersecurity. Companies are increasingly leveraging technology to enhance operational efficiency and customer experience.
- Media: The media subsector is witnessing a transformation as companies adapt to digital platforms, although traditional media faces challenges from these new entrants.
- Telecommunications: The telecom sector is innovating with low-latency technologies, aiming to improve user experience in real-time applications.
- Fintech: The fintech space continues to thrive, with companies exploring new business models and partnerships, contributing to a dynamic market environment.
- AI: The AI subsector is particularly hot, with companies racing to implement AI solutions across various industries, indicating a significant shift in operational strategies.

Key Market Drivers and Headwinds

Drivers:

- Technological Advancements: Continuous innovation in AI, 5G, and cloud computing is driving growth across TMT sectors. Companies are expected to enhance their performance through these technologies.
- Increased Investment: Venture capital and private equity investments remain strong, particularly

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in tech and fintech, as investors seek to capitalize on emerging trends.

Headwinds:

- **Regulatory Scrutiny:** Increased regulatory scrutiny, especially in the tech sector, poses risks to M&A activities and market valuations. Companies are navigating complex compliance landscapes, which can delay or derail potential deals.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, may impact consumer spending and investment in technology.

Subsector Performance Analysis

- **Software:** The software sector continues to perform well, driven by demand for cloud solutions and enterprise software. Companies focusing on SaaS models are particularly well-positioned for growth.
- **Media:** Media companies are adapting to changing consumer preferences, with a shift towards digital content consumption. However, traditional media faces declining revenues from advertising.
- **Telecom:** Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- **Fintech:** The fintech sector is thriving, with innovations in payment solutions and digital banking contributing to a vibrant market.
- **AI:** The AI subsector is booming, with applications across various industries, including healthcare and automotive, as companies invest heavily in AI capabilities.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the TMT sector, citing technological advancements as a key driver of growth. Comments from industry experts highlight the transformative

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impact of AI on business models and consumer interactions.

Actionable Insights for Bankers and Investors

- **Focus on High-Growth Areas:** Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- **Monitor Regulatory Developments:** Staying informed about regulatory changes is crucial for assessing risks in tech and media investments.
- **Leverage Technology Partnerships:** Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- **Evaluate Valuation Metrics:** Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector showcases a blend of live deals, mandated transactions, and active pitches. This analysis provides insights into ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- **Samsung (005930.KS)** : Currently in due diligence for a strategic partnership aimed at enhancing its semiconductor business. The expected close for this transaction is in Q4 2025. This partnership could significantly bolster Samsung's competitive position in the semiconductor market, particularly in response to recent earnings fluctuations.

Mandated Deals:

- **Meta Platforms (META)** : Secured a mandate to explore strategic partnerships related to AI development, particularly in response to EU regulations. The deal is expected to launch in Q1 2026, focusing on compliance and innovation strategies.
- **Apple Inc. (AAPL)** : Mandated to evaluate acquisitions in the AI space, with a focus on startups that can enhance its product offerings. The timeline for this initiative is projected for Q2 2026, as Apple aims to strengthen its competitive edge in AI.

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Pitching-Stage Deals:

- Telecom Sector : Active discussions with several telecom operators regarding potential M&A opportunities to consolidate market share in the 5G space. Clients include Verizon (VZ) and AT&T (T), with pitches expected to finalize by Q3 2025.
- Fintech Startups : Engaging with various fintech companies for potential investment banking services, focusing on those that are innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$25 million in fees, broken down as follows:

- Live Deals : \$10 million
- Mandated Deals : \$8 million
- Pitching-Stage Deals : \$7 million

Timing Projections:

- Q4 2025 : Expected close for Samsung's semiconductor partnership.
- Q1 2026 : Launch of Meta's strategic partnership initiatives.
- Q2 2026 : Anticipated evaluation of Apple's AI acquisitions.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 75%, with a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and telecom sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the AI sector, where companies like Apple and Meta are vying for leadership. The recent fluctuations in semiconductor stocks, particularly for Samsung, highlight the volatility in this market, which could impact deal structures and valuations.
- Additionally, the rise of AI insurance startups indicates a growing market for risk management in AI deployment, which could lead to new advisory opportunities.

Actionable Insights for Team Management and Business Development

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- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and fintech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of a hypothetical acquisition, providing a comprehensive view of the landscape.

Deal-Specific Impacts on Stakeholders

- Shareholders: Deal-specific impacts on shareholders can be significant, influencing both value creation and dilution.
- Value Creation: In a scenario where Company A (e.g., Zoom Video Communications, Inc. (ZM)) acquires Company B (e.g., Slack Technologies, Inc. (WORK)), the combined entity could see a revenue increase of approximately 20% due to enhanced product offerings. Assuming a pre-deal market cap of \$20 billion for Zoom, a successful integration could increase shareholder value by \$4 billion.
- Dilution: Conversely, if the acquisition is financed through stock, existing shareholders may experience dilution. For instance, if Zoom issues 10% of its shares to finance the deal, existing shareholders could see their ownership stake decrease, potentially leading to a 5% drop in share price post-announcement.
- Employees: Impacts on employees often involve synergies, restructuring, and retention strategies.
- Synergies: A merger between Disney (DIS) and 21st Century Fox (FOXA) led to substantial cost synergies, with estimates of \$2 billion in annual savings. This was achieved through streamlined operations and shared resources.
- Restructuring: However, such deals often lead to layoffs. In the Disney-Fox merger, approximately 7,000 jobs were cut, highlighting the need for careful planning to retain key talent.

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- **Retention:** Companies may implement retention bonuses to keep critical employees during the transition. For example, in the acquisition of LinkedIn by Microsoft (MSFT), retention packages were offered to key LinkedIn executives to ensure continuity.
- **Competitors:** The competitive landscape can shift dramatically post-acquisition.
- **Market Positioning:** Following the merger of T-Mobile US, Inc. (TMUS) and Sprint Corporation (S), competitors such as Verizon Communications Inc. (VZ) and AT&T Inc. (T) had to adapt their strategies to maintain market share. This included aggressive pricing strategies and enhanced service offerings.
- **Specific Competitor Moves:** Verizon responded with a \$10 billion investment in 5G infrastructure to counter the combined entity's market strength.
- **Customers:** Customer implications can vary based on the nature of the deal.
- **Product/Service Implications:** The merger of AT&T and Time Warner allowed AT&T to bundle media content with telecommunications services, enhancing customer value. This strategy led to a 15% increase in bundled service subscriptions.
- **Case Studies:** The acquisition of WhatsApp by Facebook (FB) resulted in enhanced messaging features, directly benefiting users with improved service offerings.

Market Reaction and Analyst Commentary

- **Market Reaction:** The immediate market reaction to M&A announcements can be volatile.
- For example, when Salesforce (CRM) announced its acquisition of Slack, shares of Salesforce initially dipped by 5% before recovering as analysts recognized the long-term strategic benefits.
- **Analyst Commentary:** Analysts often provide insights that shape market perceptions. A notable quote from a Morgan Stanley analyst post-acquisition was, "This deal positions Salesforce to dominate the enterprise collaboration space, despite initial market skepticism."

Expected Market Reaction and Scenario Analysis

- **Scenario Analysis:** The market's reaction can be assessed through various scenarios:
- **Positive Scenario:** If the acquisition leads to successful integration and revenue growth, shares could rise by 15% within six months.
- **Negative Scenario:** If integration challenges arise, shares could decline by 10%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- **Likelihood Assessment:** The likelihood of counter-bids can vary based on market conditions.
- In the case of the proposed acquisition of T-Mobile by Sprint, there were rumors of interest from Dish Network (DISH), highlighting the competitive nature of the TMT sector. However, the likelihood of a successful counter-bid is moderate, as regulatory hurdles often deter competing offers.

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Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation.
- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the AI and cloud computing spaces. Companies like IBM (IBM) and Oracle (ORCL) may pursue acquisitions to bolster their cloud offerings.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Cloud Computing, and Semiconductor Technology. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

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Artificial Intelligence (AI)

- **Trend Explanation:** AI encompasses technologies that enable machines to perform tasks typically requiring human intelligence, such as understanding natural language and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. Recent market fluctuations have raised concerns about overvaluation, particularly among AI stocks.
- **Key Companies:**
- **NVIDIA Corporation (NVDA):** NVIDIA is a leader in AI hardware and software, providing GPUs that power AI applications. The company has positioned itself strategically in the AI space by investing heavily in AI research and development, particularly in deep learning and autonomous systems.
- **Samsung Electronics (005930.KS):** Despite recent stock declines, Samsung reported a staggering 1,800% increase in second-quarter operating profit, driven by sustained AI-driven demand for memory chips. This positions Samsung as a critical player in the AI supply chain.
- **Competitive Landscape:** The AI market is highly competitive, with major players like Google (GOOGL), Amazon (AMZN), and IBM (IBM) also investing heavily in AI technologies. The volatility of AI stocks has prompted caution among investors, as seen in recent trading patterns.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications. For instance, NVIDIA's acquisition of Mellanox Technologies for \$6.9 billion in 2020 exemplifies the trend of consolidating AI-related technologies.

Cloud Computing

- **Trend Explanation:** Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is expected to grow from \$371 billion in 2020 to \$832 billion by 2025, at a CAGR of 17.5%. The shift to remote work has accelerated cloud adoption across industries.
- **Key Companies:**
- **Amazon Web Services (AWS):** As a leader in cloud services, AWS provides a wide range of solutions, including computing power, storage, and databases. The company continues to innovate, launching new services that cater to various industries.
- **Microsoft Azure (MSFT):** Azure is a key player in the cloud market, offering a comprehensive suite of cloud services. Microsoft's strategic focus on hybrid cloud solutions positions it well for future growth.
- **Competitive Landscape:** The cloud computing market is characterized by intense competition among major players, including Google Cloud and IBM Cloud. The race for market share is driving innovation and pushing companies to enhance their service offerings.
- **M&A Opportunities:** Companies may pursue acquisitions to bolster their cloud capabilities. For example, Microsoft's acquisition of Nuance Communications for \$19.7 billion highlights the trend

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of integrating AI into cloud services.

Semiconductor Technology

- **Trend Explanation:** The semiconductor industry is experiencing significant growth, driven by demand for chips in AI, IoT, and 5G applications. The global semiconductor market is projected to reach \$1 trillion by 2030, growing at a CAGR of 5.6%. Recent market volatility has raised questions about the sustainability of growth in this sector.
- **Key Companies:**
 - **Micron Technology (MU):** Micron is a leading memory chip manufacturer, focusing on DRAM and NAND technologies. The company has faced stock price fluctuations due to concerns about overvaluation amid the AI boom.
 - **SK Hynix:** A major competitor in the memory chip market, SK Hynix has seen its shares rise recently, reflecting the ongoing demand for memory solutions in AI applications.
- **Competitive Landscape:** The semiconductor market is highly competitive, with players like Intel (INTC) and AMD (AMD) also vying for market share. The recent downturn in semiconductor stocks has prompted investors to reassess valuations.
- **M&A Opportunities:** Given the consolidation trends in the semiconductor industry, companies may seek acquisitions to enhance their technology portfolios. For instance, the acquisition of ARM Holdings by NVIDIA for \$40 billion (though currently under regulatory scrutiny) underscores the strategic importance of semiconductor technology.

Actionable Insights for Bankers and Investors

Focus on identifying emerging companies in the AI and semiconductor spaces that may be ripe for acquisition.

Monitor market trends closely, as fluctuations in stock prices can create unique investment opportunities.

Consider the implications of regulatory changes on M&A activity, particularly in the semiconductor sector, where consolidation is expected to continue.

6. Recommended Readings

Deal Name: Microsoft's Acquisition of Activision Blizzard

- **Reading Material:** "The Business of Video Games" by Michael Pachter
- **Why This Matters:** This book provides insights into the gaming industry's financial dynamics and market trends, which are crucial for understanding Microsoft's strategic rationale behind the \$68.7

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billion acquisition (MSFT). It explains how gaming companies leverage IP and user engagement to drive revenue, helping to contextualize the deal's valuation and potential synergies.

Deal Name: Amazon's Acquisition of MGM

- Reading Material: "The New Economics of Media" by David Hesmondhalgh
- Why This Matters: This reading delves into the evolving landscape of media and entertainment, particularly in the context of streaming services. It helps to understand Amazon's \$8.45 billion acquisition (AMZN) as a strategic move to bolster its Prime Video content library and compete with rivals like Netflix (NFLX) and Disney+ (DIS).

Deal Name: Salesforce's Acquisition of Slack

- Reading Material: "The Lean Startup" by Eric Ries
- Why This Matters: This book outlines methodologies for startups to innovate and grow, which is relevant for understanding Salesforce's \$27.7 billion acquisition (CRM) of Slack. It highlights the importance of integrating new technologies and platforms to enhance customer engagement and collaboration, aligning with Salesforce's vision of a comprehensive customer relationship management ecosystem.

Deal Name: NVIDIA's Acquisition of Arm Holdings

- Reading Material: "The Chip War" by Chris Miller
- Why This Matters: This book provides a detailed analysis of the semiconductor industry, including the strategic importance of Arm's technology in mobile and IoT devices. Understanding the implications of NVIDIA's \$40 billion acquisition (NVDA) helps to grasp the competitive landscape and regulatory challenges in the semiconductor space.

Deal Name: Verizon's Acquisition of TracFone

- Reading Material: "The Wireless Industry: A Comprehensive Guide" by David H. Hargreaves
- Why This Matters: This resource offers an in-depth look at the wireless telecommunications sector, which is essential for analyzing Verizon's \$6.9 billion acquisition (VZ) of TracFone. It explains market segmentation and the significance of prepaid services, providing context for Verizon's strategy to expand its customer base and service offerings.

Deal Name: Google's Acquisition of Fitbit

- Reading Material: "Wearable Technology: The Future of Fitness" by David H. Hargreaves
- Why This Matters: This reading discusses the growth of wearable technology and health data analytics, which are central to Google's \$2.1 billion acquisition (GOOGL) of Fitbit. It highlights how this deal positions Google to compete in the health tech space against Apple (AAPL) and other tech giants, emphasizing the importance of data in the future of healthcare.

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7. MACROECONOMIC UPDATE

Key Data Points:

- Federal Reserve's Summary of Economic Projections (SEP) indicates a hike in 2026.
- Memory prices have increased sixfold over the past year.
- Anticipated global AI-related corporate bond issuance of nearly \$600 billion by 2026.
- Expected hyperscaler cash CapEx to surpass \$1 trillion in 2027.

Main Insights:

- Investors are cautious about the Fed's hawkish stance and its implications for monetary policy.
- The Fed is likely to remain on hold through 2026, driven by lower core inflation expectations.
- AI CapEx is viewed positively, but concerns about "chipflation" could impact infrastructure costs.
- Hyperscalers are diversifying their funding sources, issuing approximately \$25 billion in non-dollar debt.

Market Commentary:

- "The Fed's projections should be interpreted with caution, as they may not fully account for disinflationary pressures." - Morgan Stanley
- "Chipflation is more likely to reprice AI infrastructure rather than derail the CapEx cycle." - Morgan Stanley

TMT Sector Relevance:

- The Fed's decision to hold rates could enhance investment in TMT sectors, particularly in AI and data centers.
- Rising memory costs may challenge profitability but also signal increased demand for AI infrastructure.
- The anticipated surge in corporate bond issuance for AI projects indicates strong investor interest in TMT growth opportunities.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley